23AVCV00921 23AVCV00921

County: los-angeles

Division: Civil Law and Motion

Department: A14

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Case Number: 23AVCV00921 Hearing Date: July 14, 2026 Dept: A14

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES – NORTH DISTRICT

CITY OF PALMDALE, a California municipal corporation,

Plaintiff,

v.

UTTAM MISTRY, an individual; KANTA MISTRY, an individual; and JPMORGAN CHASE BANK, NATIONAL ASSOCIATION, as successor in interest to Coast Federal Bank, Federal Savings Bank,

Defendants.

Case Number 23AVCV00921

[TENTATIVE]

STATEMENT OF DECISION

Date of Hearing: July 14, 2026

Dept. A-14

Judge William H. Forman

I. Background

This is a nuisance abatement and receivership case arising from the hazardous and dangerous condition of a property owned by Defendants Uttam Mistry and Kanta Mistry. Court-Appointed Receiver Richardson Griswold moves the court for an order distributing funds, discharging the receive, and exonerating the surety.

On March 25, 2026, Plaintiff City of Palmdale (Plaintiff) filed a complaint against Defendants Uttam Mistry, Kanta Mistry (the Mistrys), and JPMorgan Chase Bank, National Association (Chase) as successor in interest to Coast Federal Bank, Federal Savings Bank, asserting a cause of action for violations of state housing law and receivership.

Specifically, Plaintiff alleges that real property, located at 3039 Conestoga Canyon Road, Palmdale, California 93550, Assessor's Parcel Number 3052-053-046 (Property), owned by the Mistrys contains conditions endangering the life, limb, health, property, safety, or welfare of the public or any occupants of the property, and therefore constitutes a substandard building in violation of state law. (Compl., ¶ 40.) Plaintiff states it has been ordering the unlawful conditions to be abated for approximately 13 years prior to filing its complaint and provided the Mistrys ample opportunity to remedy the conditions. (Compl., ¶ 43.) Plaintiff brought suit against the Mistrys and Chase, which holds a recorded beneficial interest in the property, and requested that the Court appoint a receiver to take full and complete possession and control of the property to rehabilitate and bring it into full compliance with all applicable laws. (Compl., ¶¶ 5, 46.)

On November 27, 2023, Chase filed its answer.

On September 25, 2024, the Court entered default as to the Mistrys as of September 10, 2024. (See Minute Order dated September 25, 2024.)

On December 5, 2024, Plaintiff filed an ex parte application for appointment of a receiver.

On December 10, 2024, Plaintiff's ex parte application was granted, and the Receivership Order was entered and Richardson Griswold (Griswold) was appointed as the Court's Receiver over the property.

On March 25, 2026, Griswold filed the present motion for distribution of funds, discharge of receiver, and exoneration of surety.

No opposition has been filed by any party.

II. Legal Standard

Standard for Discharge of Receiver – On termination of a receivership, a receiver shall present a final account to the trial court for approval, a request for discharge, and a request for exoneration of its surety. (Cal. Rules of Court, rule 3.1184.) "No memorandum needs to be submitted in support of the motion or stipulation served and filed under (a) unless the court so orders." (Cal. Rules of Court, rule 3.1183, subd. (b).) "Notice of the motion or of the stipulation must be given to every person or entity known to the receiver to have a substantial, unsatisfied claim that will be affected by the order or stipulation, whether or not the person or entity is a party to the action or has appeared in it." (Cal. Rules of Court, rule 3.1183, subd. (c).) Finally, "[i]f any allowance of compensation for the receiver or for an attorney employed by the receiver is claimed in an account, it must state in detail what services have been performed by the receiver or the attorney and whether previous allowances have been made to the receiver or attorney and the amounts." (Cal. Rules of Court, rule 3.1183, subd. (d).)

“A surety on a bond given in an action or proceeding may at any time apply to the court for an order that the surety be released from liability on the bond.” (Code Civ. Proc., § 996.110.)

III. Discussion

Application – Griswold submits his motion seeking: (1) his discharge as the Receiver in this case; (2) authorization to distribute the remaining receivership funds, and (3) exoneration of the surety.

a. Summary of Griswold’s Final Account and Report as Receiver

Griswold states that in August of 2025, Plaintiff confirmed that the Property is once again in full compliance with all applicable state and local laws. (Griswold Decl., ¶ 3.) On January 22, 2026, the Court approved the sale of the Property, and upon close of escrow on January 23, 2026, net proceeds of $217,232.26 were delivered to Griswold. (Griswold Decl., ¶ 4.) The outstanding receivership fees and costs were paid out of escrow at closing as authorized by the Court. (Ibid; Court Order dated January 22, 2026.)

Griswold declares that with the property in compliance and the Receiver’s Certificate paid off, his duties as Receiver have been fulfilled and there is no longer any need for him to remain as Receiver. (Griswold Decl., ¶ 4.)

The only outstanding matter is the distribution of the remaining sale proceeds. (Ibid.) Griswold states that a representative of the Mistrys contacted Griswold, advised that the Mistrys do not intend to appear in this action, but will provide contact information necessary for the distribution of any remaining sale proceeds. (Griswold Decl., ¶ 5.) Griswold is coordinating with the representative to obtain the information required to distribute any remaining proceeds to the Mistrys and is prepared to proceed accordingly, but requests that $10,000 be reserved until all tasks related to his discharge are completed. (Griswold Decl., ¶ 6.) Once Griswold’s discharge is completed, any remaining funds will be distributed to the Mistrys. (Griswold Decl., ¶ 6.) The distribution breakdown requested is that $10,000 be reserved for fees and costs related to Griswold’s discharge and $197,182.82 be distributed to Uttam and Kanta Mistry. (Griswold Decl. ¶ 6.)

Griswold also provides a full and detailed Receiver Accounting for costs, expenses, and fees incurred from December 31, 2024 through March 3, 2026. (Griswold Decl., Ex. A.)

Griswold has complied with the requirements for filing and serving a noticed motion with a final account and report, a request for discharge, and a request for exoneration of the surety pursuant to Rules of Court rule 3.1184. The Court finds the services rendered and fees incurred by Griswold as Receiver reasonable, and the Court concurs with Griswold’s suggested distribution of the remaining funds.

Accordingly, Griswold’s Motion is GRANTED.

Griswold is authorized to make distributions of the remaining funds as follows:

$197,182.82 to be distributed to Uttam and Kanta Mistry.

$10,000 to be held in reserve and maintained for fees and costs related to Griswold’s discharge as Receiver through the discharge of this matter. At discharge, any and all remaining proceeds shall be distributed to Uttam and Kanta Mistry.

IV. Conclusion

Court-Appointed Receiver Richardson Griswold’s Motion for Distribution of Funds, Discharge of Receiver, and Exoneration of Surety is GRANTED.